

QUESTION 1 (23 marks)

Your friend Jordan, a recent graduate from another university, has started a retail clothing business called StyleHub Ltd. Excited by the impressive cash balance shown in the bank account at the end of January, Jordan believes the business is thriving. Jordan reaches out to you, knowing that your accounting expertise can help provide a complete financial picture.

PART 1 (16 marks)

REQUIRED: Identify the effects of the following transactions:

Ref	Description
1.1	Jan. 1: Jordan and co-founders invest \$20,000 cash into the company in exchange for common stock.
1.2	Jan. 1: Borrows \$50,000, repayable in full at the end of one year (with interest of 12% at final payment).
1.3	Jan 15: Buys equipment worth \$60,000 on credit with payment due in 30 days. Estimated life is 5 years.
1.4	Jan 15: Buys clothing inventory worth \$90,000 on credit from suppliers, payment due in 30 days.
1.5	Jan 15: Pays \$12,000 cash for three months of rent and insurance coverage.
1.6	Jan. 31: Total cash sales were \$50,000 for the month, with cost of inventory being \$30,000.
1.7	Jan. 31: Pays \$3,000 for utilities and other operating costs relating to January. No unpaid amounts.
1.8	Jan. 31: Owes \$15,000 in employee salaries for the month, but payment will be on Feb. 15 th .

Balance Sheet										Income Statement					
Cash	+	Noncash Assets	-	Contra Assets	=	Liabilities	+	Contrib. Capital	+	Earned Capital	Revenues	-	Expenses	=	Net Income
Ref. 1.1 \$20,000 Financing					=			\$20,000 Common stock						=	
Ref. 1.2 \$50,000 Financing					=	\$50,000 Bank loan								=	
Ref. 1.3		\$60,000 Equipment			=	\$60,000 Accounts payable								=	
Ref. 1.4		\$90,000 Inventory			=	\$90,000 Accounts payable								=	
Ref. 1.5 (\$12,000) Operating		\$12,000 Prepaid rent & insurance			=									=	
Ref. 1.6 \$50,000 Operating		(\$30,000) Inventory			=					\$20,000 Retained earnings	\$50,000	-	\$30,000 COGS	=	\$20,000
Ref. 1.7 (\$3,000) Operating					=					(\$3,000) Retained earnings		-	\$3,000 Operating expense	=	(\$3,000)
Ref. 1.8					=	\$15,000 Salaries payable				(\$15,000) Retained earnings		-	\$15,000 Salaries expense	=	(\$15,000)

PART 2 (3 marks)**REQUIRED:** Do any accounts need to be adjusted on January 31st? Which ones?

- ☐ **1.2 ADJUST | Interest calculation:** \$50,000 loan x 12% annual interest rate = \$6,000 per year or \$500 per month (from Jan. 1 to Jan. 31).
- ☐ **1.3 ADJUST | Depreciation calculation:** \$60,000 / 5 years = \$12,000 per year, or \$1,000 per month.
 - Equipment is used for only half a month in January, so the amount is estimated at \$1,000 x 0.5 = \$500 (Jan. 15-31st).
- ☐ **1.5 ADJUST | Rent and insurance:** \$12,000 / 3 months = \$4,000 per month
 - Rent and insurance impact for January is half a month, so the amount is estimated at \$4,000 x 0.5 = \$2,000 (Jan. 15-31st).

Balance Sheet							Income Statement		
Cash	+	Noncash Assets	-	Contra Assets	=	Liabilities + Contrib. Capital + Earned Capital	Revenues	-	Expenses = Net Income
1.2 ADJUST						\$500 Interest payable			\$500 Interest expense
1.3 ADJUST				\$500 Acc. Dep.	=				\$500 Dep. expense
1.5 ADJUST		(\$2,000) Prepaid rent & insurance			=				\$2,000 Rent & ins. expense

PART 3 (4 marks)**REQUIRED:** Jordan said, "We have plenty of cash, so we are doing great!". Do you agree? Explain.

Yes, StyleHub has a significant cash balance of \$105,000, but no, StyleHub Ltd. is not "doing great" just because it has plenty of cash.

1. Imminent Liabilities Exceed Cash Balance: Despite having \$105,000 in cash, StyleHub Ltd. has substantial short-term liabilities that surpass this amount. The company owes \$150,000 in accounts payable for equipment and inventory purchased on credit, with payments due within the next 30 days. Additionally, there is \$15,000 in salaries payable due on February 15. This brings the total immediate obligations to \$165,000, creating a cash shortfall of \$60,000. The available cash is insufficient to cover these upcoming obligations, placing the company at risk of default.

2. Operating at a Loss: In January, the company reported a loss of \$1,000. While a loss is not unusual for a first month of operations, it is also not sustainable.

3. High Debt Levels and Financial Risk: StyleHub Ltd. has a high debt-to-equity ratio, with total liabilities of \$215,500 against total equity of \$19,000. This results in a debt-to-equity ratio of approximately 11.3, signifying that the company is heavily leveraged. High levels of debt increase financial risk, making the company more vulnerable to economic downturns or operational setbacks.

4. Cash Flow Misconceptions: The impressive cash balance is primarily due to initial financing activities rather than profitable operations. Relying on borrowed funds and investor capital to maintain cash levels is not sustainable and does not reflect operational success.

5. Operating Challenges and Low Profit Margins: StyleHub Ltd. faces high fixed costs, including \$4,000 monthly for rent and insurance and \$1,000 for depreciation (ongoing monthly run-rate; January reflects a half-month at \$2,000 and \$500 respectively). The gross profit margin is 40%, and the net profit margin is -2%. This limits the company's ability to cover debts and invest in growth.

Recommendations | To improve its financial health, StyleHub Ltd. should consider the following actions:

- ☐ **Manage Liabilities Effectively:** Negotiate extended payment terms with suppliers and prioritize debt repayments to avoid defaults. Consider additional financing to manage upcoming obligations.
- ☐ **Reduce Operational Expenses:** Analyze all operating costs to identify areas where expenses can be cut without compromising the quality of products or services.
- ☐ **Improve Profit Margins:** Explore opportunities to increase prices or reduce the cost of goods sold to enhance profitability.
- ☐ **And, of course, take an accounting class at Rotman!**